Card surcharge ban saves consumers $1.6 billion a year, but could push more trade into cash

A consumer-protection regulation with a possible unintended consequence: the shadow economy and lost tax revenue.

WHAT HAPPENED

Surcharges on card payments were banned from 1 October. The ban is forecast to save consumers $1.6 billion a year, but businesses still pay card processing fees and are looking for ways to cope, including discounts for paying in cash.

A shift back to cash could widen the shadow economy, which official estimates put at about 3% of GDP (about $80 billion in 2025). CPA Australia estimates undeclared income creates a tax gap of about $11 billion a year.

Card payments leave a digital trail and cash does not. Cash fell from 69% of consumer payments in 2007 to 15% in 2025, and European evidence links greater card use with less tax evasion.

The author says these findings do not prove the ban will raise evasion, only that the risk exists. Suggested responses include lower card processing fees and better electronic sales records for the ATO.

BY THE NUMBERS

$1.6 billion a year
Forecast consumer saving from the surcharge ban
ban from 1 Oct 2026

about 3%
(about $80 billion)
Shadow economy, share of GDP
2025

about $11 billion
Annual tax gap from undeclared income
CPA Australia estimate

15%
(69% in 2007)
Cash share of consumer payments
2025

KEY TERMS

Card surcharge: An extra fee a business adds to the price when a customer pays by card.

Tax evasion: Illegally avoiding tax, such as by under-reporting sales.

Shadow economy: Economic activity that is not reported or taxed.

Unintended consequence: A side effect of a policy that its designers did not aim for.

EXAM ANGLE

Regulation to protect consumers and its trade-offs: a price rule that shifts costs to businesses, changes payment behaviour and may reduce tax revenue. Useful for evaluating microeconomic regulation, and for government failure at Year 11.

SYLLABUS LINK

TOPIC 4: microeconomic policy (regulation and its effects on markets). It links to TOPIC 4: limitations of economic policies.

TRY THIS

Outline one intended and one unintended effect of banning card surcharges. (3 MARKS)

Explain how a rise in cash transactions could affect government revenue. (3 MARKS)

Source: Md Akhtaruzzaman (Australian Catholic University), The Conversation, 20 October 2026. Summary written in our own words for classroom use; read the original for the full argument. https://theconversation.com/could-the-ban-on-card-surcharges-lead-to-a-rise-in-tax-evasion-294139